CHAPTER

4

Consumption And Investment Functions

The theory of multiplier and the theory of accelerator are the two sides of the theory of fluctuations just as the theory of demand and the theory of supply are the two sides of the theory of value. The full theory must be that which shows both sides in operation.

– J.R.Hicks.

Learning Objectives

1 To study the basic concepts in consumption and investment functions.

2 To impart knowledge on the working of Multiplier, Accelerator and Super Multiplier.

4.1 Introduction

In the second chapter we have seen the concept of national income, its measurement, importance and difficulties. The present chapter deals with consumption function and the investment function which play a vital role in influencing national income.

The primary macroeconomic objective is acceleration of growth of national income. We have already seen that national income comprises of consumption goods (C) and investment (I) goods. There is close correlation between investment and national income. The multiplier refers to the change in national income resulting from change in investment. The value of multiplier itself depends on consumption function or marginal propensity to consume. The consumption function is the relationship between consumption expenditure and the national income. The unspent portion of national income is called saving which becomes investment and thereby capital. The relationship between consumption expenditure and the capital expenditure is explained by the principle of accelerator. All these variables are closely interconnected.

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